‘make’ or ‘break’ the already fragile world economy. Hence, it becomes even more significant in the changed dynamics of the global economic order.

The issue of volatility in capital flows has been of concern for several emerging markets (including India). The management of capital flows is tempered by two considerations:

(i) The *first one* is the common challenge to most developing countries and EMEs, arises from the uncertainties in global capital flows and monetary policies pursued in advanced countries. Emerging markets face sudden ***stops or reversals*** (witnessed in December of 2011) for reasons not necessarily linked to developments in their own economies but to serious difficulties faced by financial institutions in advanced economies. Quantitative easing pursued by monetary authorities in advanced countries (while understandable in the context of liquidity needed to repair adverse private and public balance sheets) is a relatively new phenomenon that has altered the composition of capital flows and made their management by recipients more difficult.

(ii) The second one specific to the India’s. Notwithstanding the stability of India’s balance of payments after an episode in 1991, India’s current account deficit has widened over the 2011-12. The dependence on private capital inflows to finance the same has widened. It is by now known that the burden of adjustment in the current IMS falls predominantly on non-reserve-issuing current account deficit countries (like India). On that count, the Indian economy has moved towards greater openness to capital flows, though following a cautious and calibrated approach of keeping both domestic and international factors and risks in view and through judicious use of multiple instruments promoting capital flows.

In the light of the shift in external vulnerability indicators and India’s currently high dependence on *imported oil*, there is need to reinforce management of the capital account (which has served India well) and also encourage more stable capital flows rather than short-term flows. Countries like India may well need to rely on a matrix of choices comprising